Finance today
Headlines from the Financial Times

Debate about the Federal Reserve's balance sheet is heating up

12-9-2025

Federal Reserve reappoints regional chiefs in move that allays fears of challenge by Trump allies

12-11-2025

Federal Reserve holds rates and removes dovish guidance

1-28-2026

What would Kevin Warsh's Federal Reserve look like?

2-2-2026

Class 15
Central banks

- Central bank roles
  - Bankers of the state
  - Managers of the macro economy
  - Managers of the exchange rate
  - Bank regulators
  - Liquidity providers
- Cooperation or conflict with the Treasury
  - It manages the state's finances
  - It decides to print money

The odd history of the US 1789-1860

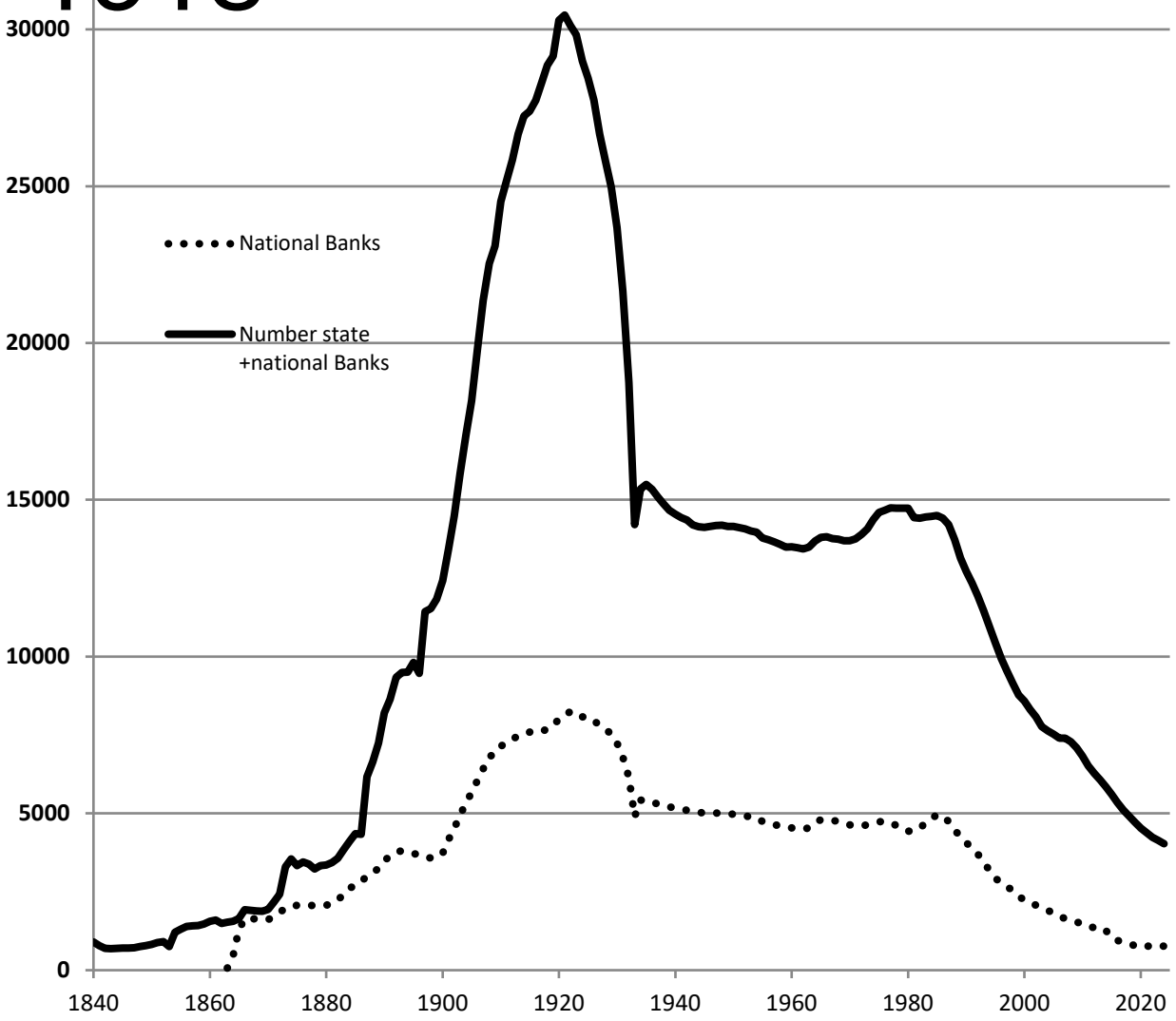
- First bank of the US. 1791 not renewed in 1811
- Second bank of the US 1816 not renewed 1836
- No central bank from 1836 to 1913
- At heart a conflict between the financial centers (Philadelphia and NY) and the rural parts of the US.
- Central bank is connected to financial centralization
  - Loss of autonomy of local economies
- Banks chartered by states until Civil War
  - Federal government passive (debt low, currency on gold standard)

Elsewhere in the world

- Wisselbank, first central bank established in 1609 in Amsterdam
- Bank of England 1694
- Bank of France 1795
- Then countries as they go through political reform establish central banks
  - Initial roles
    - Provide liquidity (discounting) to the market
    - Give authority to a credit group over the disbursement of government revenue.

The odd history of the US 1860-1913

- In the North federal government needs resources to fight the civil war but post 1837 little interaction with capital markets, and the war initially does not go very well
- Solution is to tax the state-chartered banks so they convert to national banks.
- Banks are required to reincorporate as national banks and hold their reserve in Fed Gov Securities buy all the debt issued by the federal government)
  - National banks still regulated by states
- After the Civil War banks can choose either state charters or federal charters

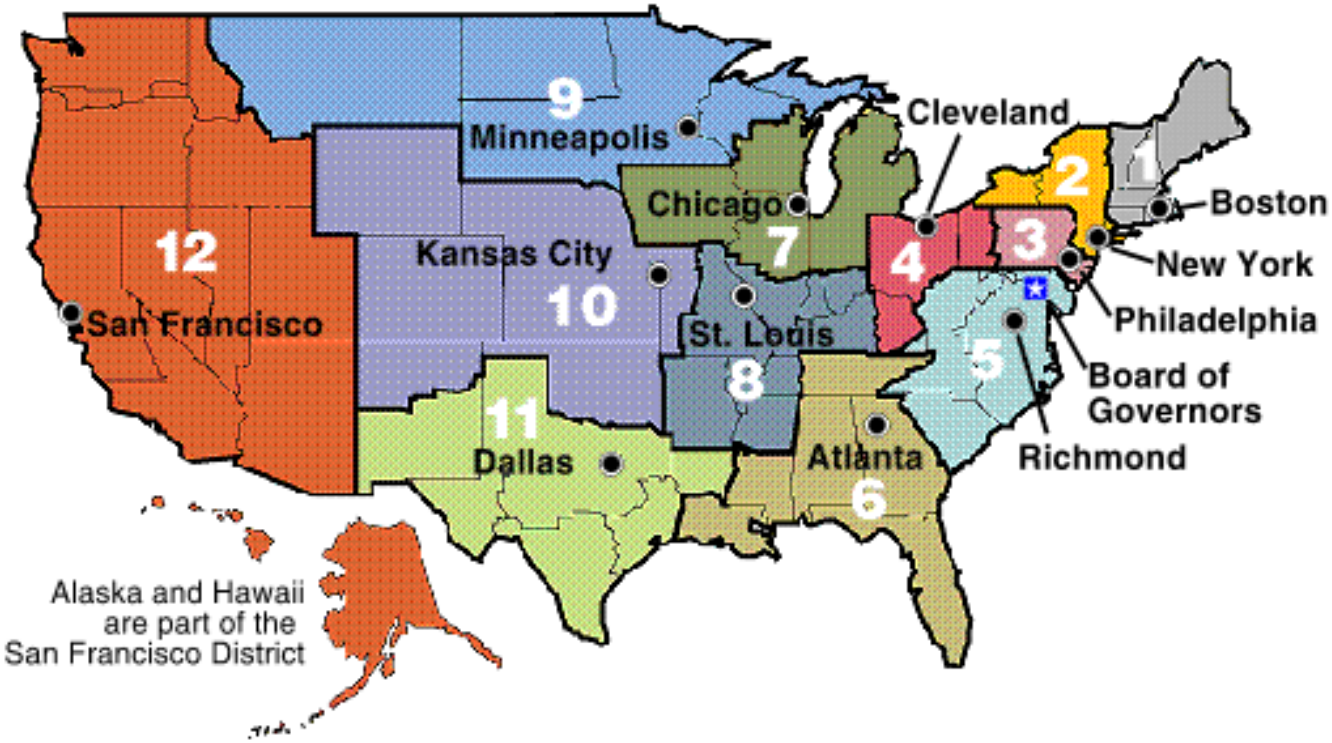


The national bank era

- Mostly unit banks with low capital requirement
  - Unit
  - Capital requirements
- 3 tiers, banks, reserve city banks, NY banks
- Lower tier must hold some of their reserve on the accounts of above tier banks
  - Provides liquidity but also supply of funds to centers.
- Panic of 1907 (triggered by SF earthquake 1906)
  - JP Morgan decides who survives and who does not

Federal reserve (1913)

- Central bank in DC (board of Governors)
  - Open market committee sest discount rates
- 12 regional branches
  - Bank regulators
- NY branch
  - International finance

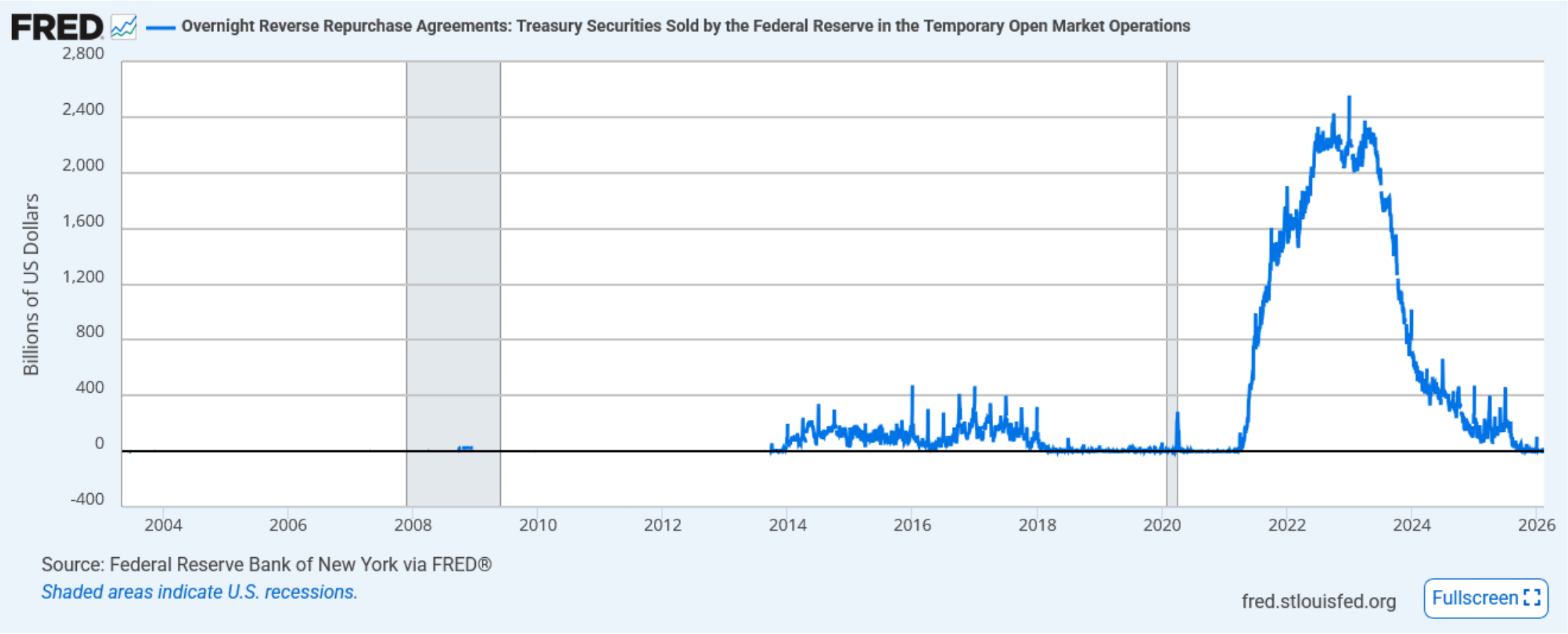


Quiz time

The work

- Liquidity provider
  - Overnight window
- Bank regulator
  - Balance sheet reporting
  - Reserve requirements
  - Stress tests
- Market regulator
  - Interest rate policy
  - Quantitative tools (balance sheet of the Fed)

Liquidity provider



Bank regulator

- Every national bank (and some other organizations) have accounts at federal reserve.
- Must also report their balances
  - Including non performing loans
- From the bank data the Fed tries to avoid bank failures
  - Fed evaluate the quality of the loan and investment portfolio
  - Can require that banks increase their equity (either add reserve or reduce loans)

Reserve requirements

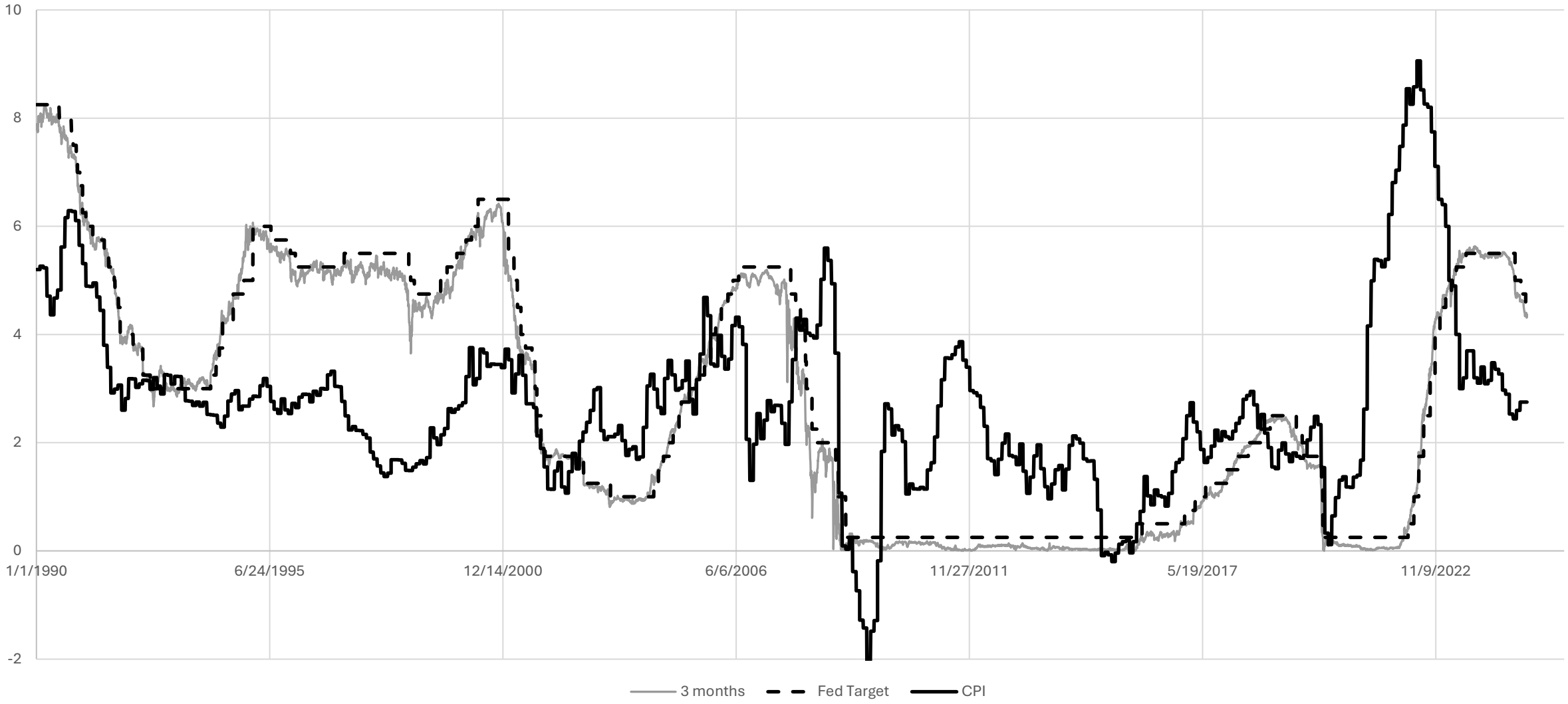
- In part due to the revised regulatory capital rules, the Federal Reserve's stress testing program, and enhanced supervisory program, the largest banking organizations supervised by the Federal Reserve have more than doubled their common equity capital in aggregate since 2009. (https://www.federalreserve.gov/supervisionreg/stress-tests-capital-planning.htm
- At the end of 2001, the reserve requirement on transaction accounts was 3 percent of the first $41.3 million of transactions balances and 10 percent of the rest.
  - So that small depository institutions are relieved of the burden of reserve requirements, each depository institution is subject to a zero percent reserve requirement on the first $5.7 million of its reservable liabilities (at the end of 2001).
- Time deposits currently are subject to a zero reserve requirement. (https://www.federalreserve.gov/frrs/regulations/background-and-summary-of-regulation-d.htm)

Stress tests

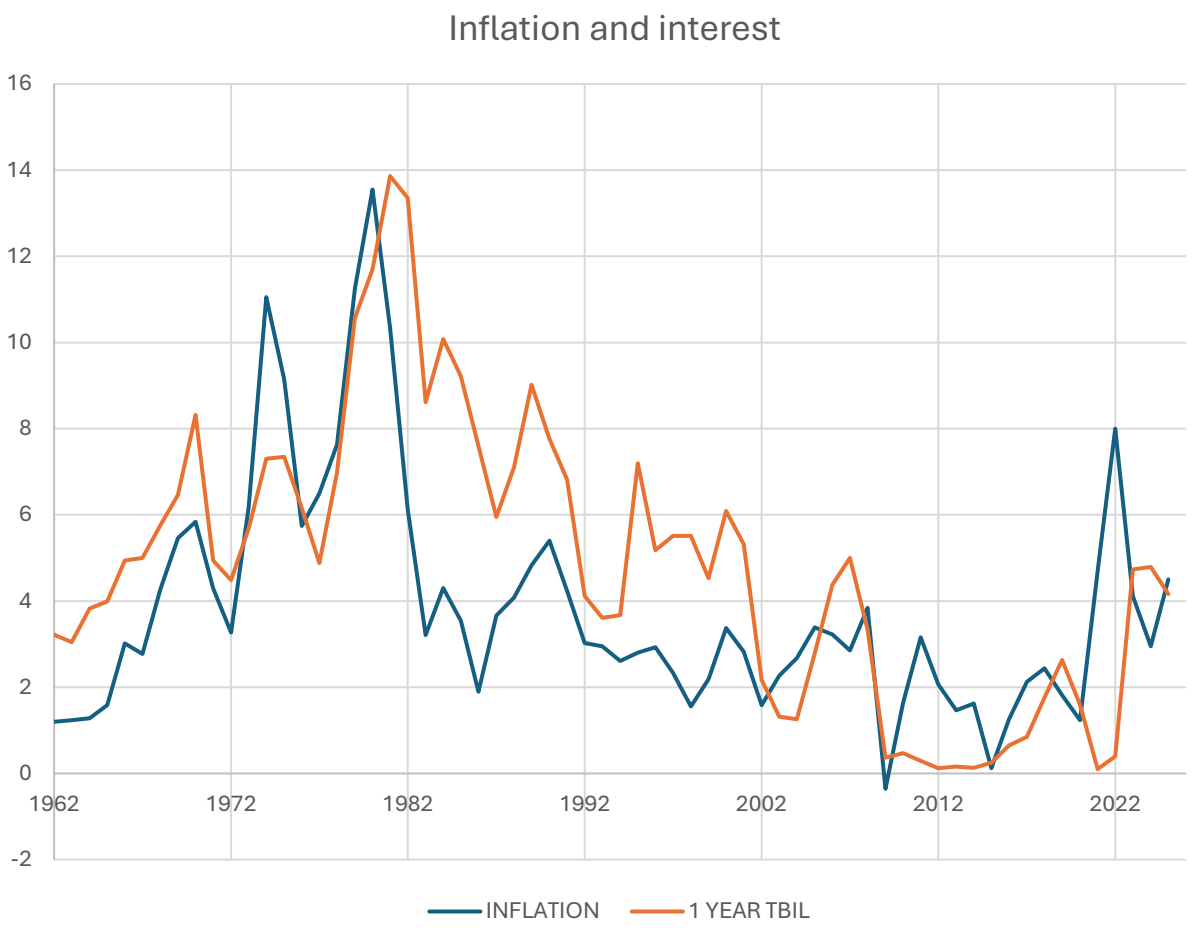
- The stress test is a forward-looking quantitative evaluation of bank capital that demonstrates how a hypothetical macroeconomic recession scenario would affect firm capital ratios.
- Since the Fed started subjecting the biggest American banks to stress tests in the aftermath of the 2008 financial crisis, the comprehensive capital analysis and review process has become a crucial mechanism for controlling capital requirements in the sector. (FT 10-24/2025)
- Wall Street’s biggest banks announced a flood of shareholder payouts after passing regulatory stress tests that imposed easier conditions. JPMorgan, Goldman Sachs, Bank of America, Morgan Stanley and other banks said they would raise quarterly dividends. JPMorgan and Morgan Stanley also said they would buy back billions of dollars' worth of their shares. (1-7-2025)

Market regulator

Fed Target rate

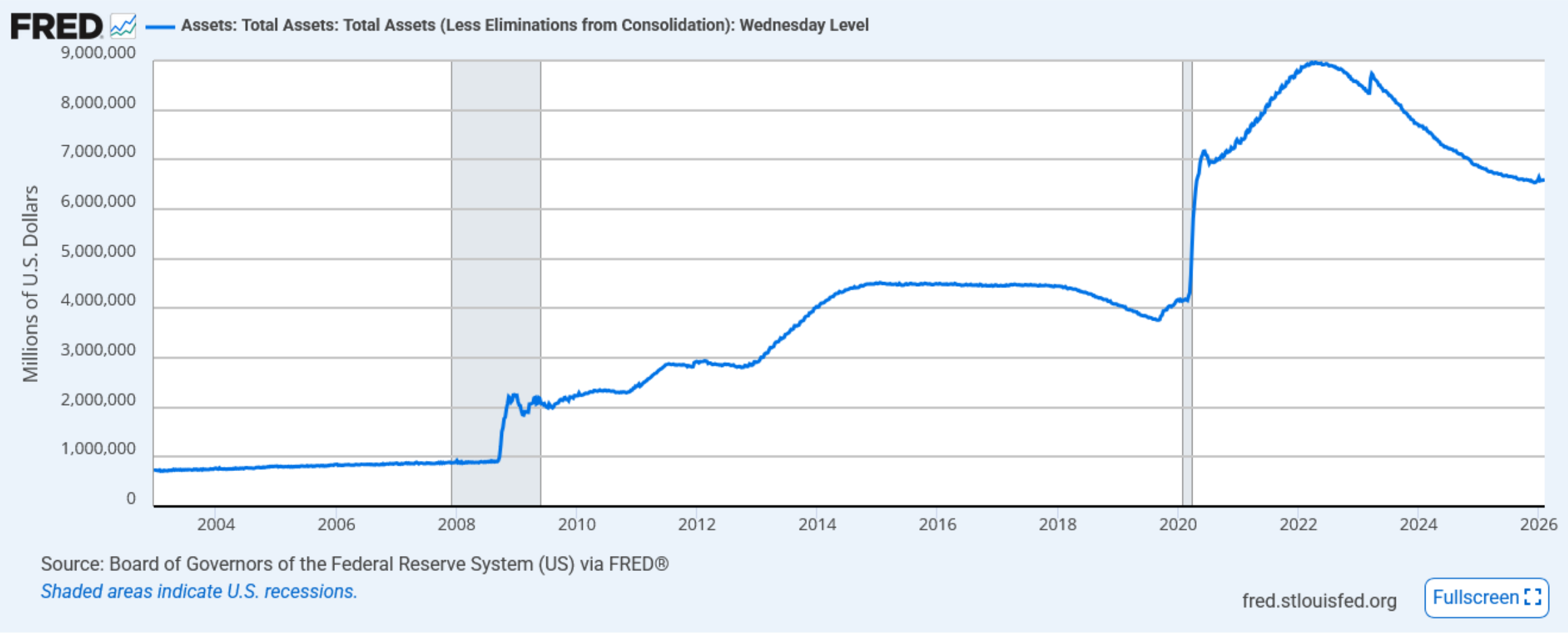


The challenge of the 21st century

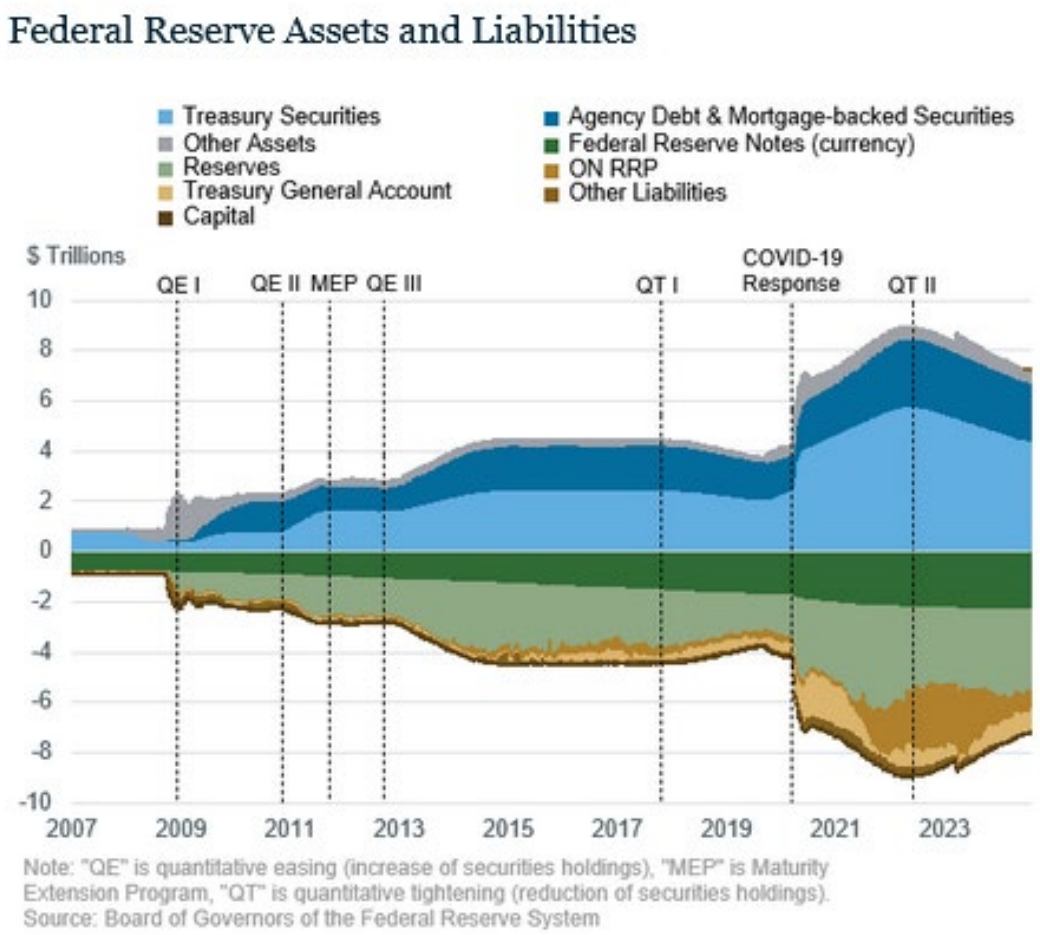


- Interest rates keep dropping to about 2009
- Inflation rates remains low until 2020.
- Do fed discount rate falls
  - under 3% 2001-2005
  - Under 2% 2008-2018
  - Under 1% 2020-2022
- Can only use interest policy one direction

Response: Quantitative Easing



Response



- Federal Reserve buys government securities forces the market to hold other things
  - It does so by creating money
- In particular, more risky assets
- Problem : banks may just leave the reserves at the FED.
- All this has impact of the government debt market

Central bank independence

- In 1913 the Federal reserve is created by Congress as independent agency.
  - Each reserve bank has a president appointed by a local board (they rotate on the Open market committee
  - The president appoint the D.C Governors and the Chair for long terms, they must be confirmed by congress
- The treasury still can directly issue money and impacts interest rates by its debt issues
- At the time US is on gold standard $24/oz. a standard that remains in 1972. (until 1932 anyone can be paid in gold, after 1932 only other banks)

Central bank independence Matters because

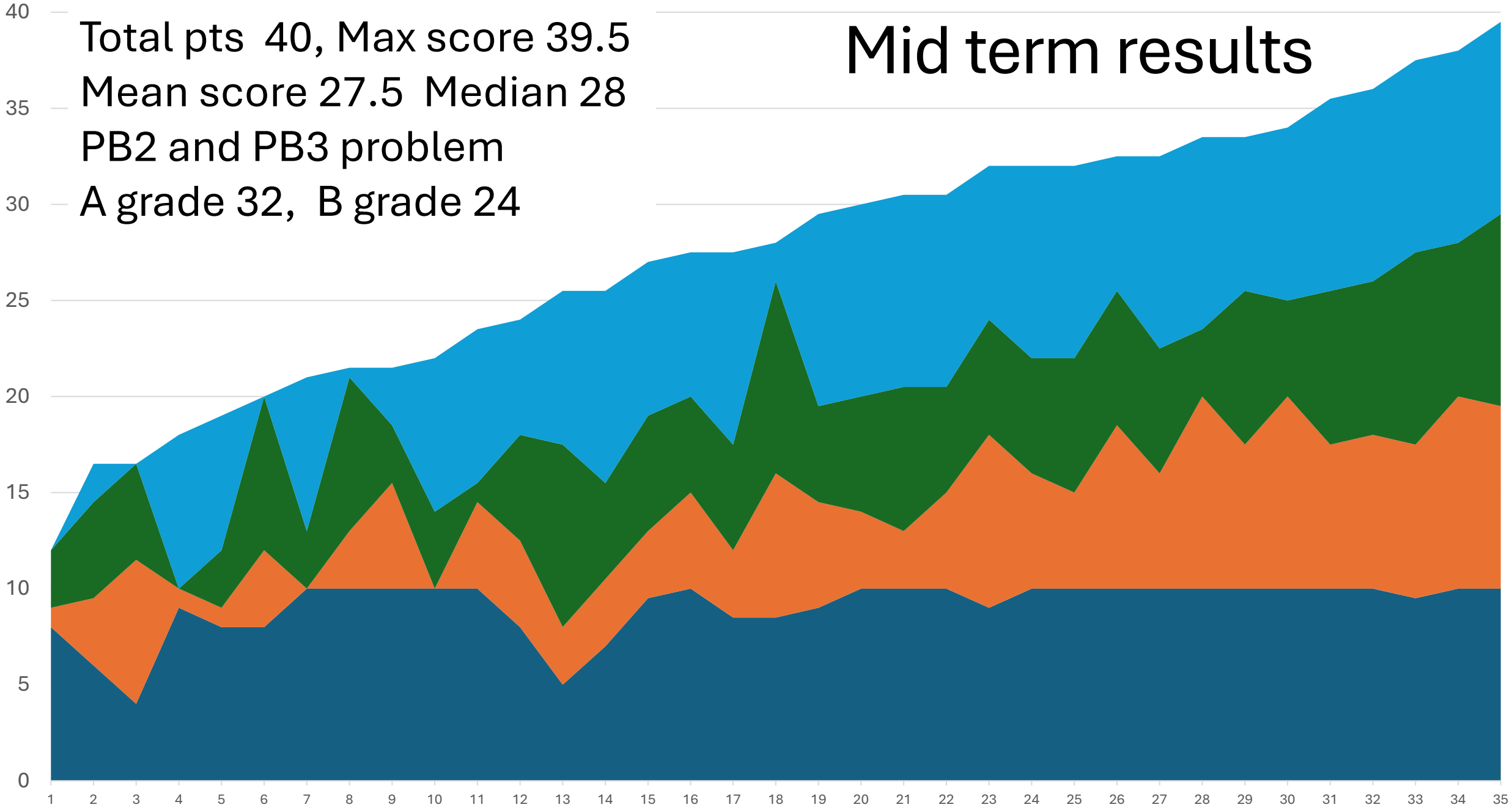
- Many incumbent politicians favor ‘easy money’ because of short-run incentives
  - More votes for the party in power when the economy is doing well
  - But long-term costs to inflation and financial instability.
- In general, conservative parties have wanted lower inflation than liberal parties
  - Represent bondholders or workers?
  - No one wants the market to bet against them
- The independent agency creates a buffer.
  - Still a political body, but a different one

Wrap up

- Since 2001. Federal Reserve has had a rough goals
  - Low interest rate <2%
  - Low inflation +/- 2% annual rate of change
  - Low unemployment 4<%
- After inflation shock post covid
  - Raise interest rates, and absent a recession would want to wait until inflation fall to 2% to return to equilibrium above
- White House would prefer a more rapid decline in interest rates
  - Has the capacity to appoint a new chair
  - STAY TUNED

Mid term results

Total pts 40, Max score 39.5
Mean score 27.5 Median 28
PB2 and PB3 problem
A grade 32, B grade 24



Next module preview: derivatives

- Forward and futures
  - Market mechanisms Margin accounts
- Risk management (again!)
- Options